

November 26th, 2025

This entry serves the purpose of providing amended commentary on where my head is at following NVDA's 3Q earnings report. I'm sure you were well informed of the results from the most notable reporting in your lifetime. Spoiler alert... NVDA continued to *beat* expectations. I struggle here, as I personally did not know a living soul that believed NVDA was going to disappoint in their results. How could they?

"If we delivered a bad quarter, if we're off by just a hair, if it just looked a little bit creaky, the whole world would've fallen apart."

November 20th, 2025
Jensen Huang, CEO Nvidia

I can't help but be filled with a feeling of question as I listened to Jensen say the above quote, and that is coming from an admirer. I lean to the side of caution when I hear something that consequential being voiced by the #1 leader in the world right now. Even still the market gapped NVDA up overnight, followed by traders realizing profits quickly the next morning. What I watched late last week and into this week was the same continuation of the overall deceleration in specific AI market momentum names that I've seen for much of the last month. In the last few entries I've made specific mention of our hopes to "become more aggressive" as we shake off the volatility imposed on the market from various events, both systemic and specific. To my despair, I've sat cautiously by watching the leaders for the most part, and nibbling on a little more RDDT. In my eyes, much of what I've seen the last week or so has been a masterful rotation by traders. *Let's take a trillion from Nvidia and move it into Google*, essentially. That is how the never-losers continue to never lose. At these levels, it is the only way to keep the market higher in my opinion, by lengthening every tentacle. I view it more as a short term exhaustion signal than anything else. Still though, there is opportunity around us and the pullbacks we are witnessing will be contained to relative valuation resets.

The star of the show recently has been none other than Google, tacking on ~2 trillion in market cap since the April tariff bottom. Who said there is no opportunity in trillion dollar companies? I can't help but think back to when Google was selling off amid the OpenAI fear earlier this year. Common sense then was to assess the FCF behemoth that Google is and understand their ability to capitalize on AI was more sound than a cash incinerating private company called OpenAI. During the MSFT / OpenAI partnership announcement period, Google was neglected and common sense evaded most.

I want to take a second to discuss a topic that I keep near me during manic bull runs, and that is as an investor, you can never get *high on the idea*. A lot of the eye popping gains you see across the market during friendlier times are simply investors being high on the idea of potential value. Most of the time I doubt they even understand what value they envision being created. Ultimately, that idea is going to materialize or fizzle out and the stock's price in the long term will be a reflection of such. Remember the conversation we had months ago on the topic of expected "haircuts" across names witnessing tremendous gains in 2025.

“I also expect the names that have worked so well in 2025 (OKLO, CRWV, etc.) to get huge haircuts during this rotation. What we have experienced in 2025 is enormous amounts of capital fleeing more stable names and flowing into the AI demand trade.”

September 25th, 2025

Luke C. Cagle

Now the above quote was not some far fetched prediction. I would say anyone who has had experience in thematic markets would've come to the same conclusion. The main gist here is that the idea very quickly outpaces the reality of profits. It's up to the investor to determine the standings of that race. When the market shifts focus from the idea, companies are now being judged on the underlying value creation, and/or the probability of value being created. When I made specific mention of OKLO and CRWV, it was based on the reality that these companies currently generate zero actual value for shareholders. They are trading entirely on the idea of potential. Recently we've seen the market shift its focus on thematic leaders and we've since seen -50% and -65% *haircuts* in both of these names, respectively. All of this is completely normal within a stocks lifetime and enduring names will have this happen to them countless times. It's ultimately this constant battle of idea vs reality that provides us with both short-term and long-term opportunities. The good thing about the stock market is you can be a loser one year and a winner the next. The names I mentioned above could very well have sound management that overtime delivers on their *idea*. There is nothing wrong with owning names like this during a rising tide, just be aware of air below should perception change.

Looking ahead and discussing select tickers...

During an accommodative environment like we've been in during 2025, it's easy to take pullbacks as opportunities to add aggressively. The overall feel of the market from about mid-October through the current day has made me a little more cautious than I would've preferred a month ago. Broadly speaking, the playground names (SLNH, BZAI, RR) that we had so much fun profiting from become a place I no longer venture into when the market starts to show leakage. In simpler terms, I shorten my perspective to only top quality companies. I'll touch on a few names below.

- You guessed it, **RDDT** remains my number #1 focus for 2026. Currently trading around a ~\$35B market cap, I have this one pegged as a great asymmetrical bet for investors regardless of the market outcome. They have a lot going on, a wonderful leader, huge AI potential, and a fastly climbing institutional ownership amount. We've mentioned this name all year and more recently so with our buys in the \$180-190/share range. With its inevitable SP500 inclusion coming, this one will continue to win.
- A name I've been fond of for years and have as a long term account holding, **ZS** is a name you need to be familiar with. Down over 11% after reporting earnings on the 25th, I suggest you learn about this name and the company. This is a cyber security name and one of three that I personally invest in. All three being **ZS**, **FTNT**, and **PANW**. I could see this name trending towards \$200/share, but being that it is a market leader, I hesitate on that outcome. Nibble on the way down for me.

- During the recent pullback I couldn't help but add **META** <\$600/share. Not much to mention here other than I expect their next earnings to leave the market with a different feel on their AI approach and Zuck will not disappoint there.
- We discuss this name every entry but **TEM** was one we wanted to add around \$60/share. In the last week or so it got to \$62/share and we added more. This is a volatile name due to its age but will become a long term winner. I'm trading and storing some for the long haul.

As we head into the joyous holiday period and the "Santa Rally" seasonal strongwinds the market is known for, I'm looking to see a continuation of the follow through market move we've seen late this week. I still keep in mind where we are currently trading and what amount of gas is left in the tank for this market. I'm one who generally keeps the idea that we've been in a long term bull market for over 15 years in the back of my mind. Not to dwell in some rain puddle, but more so to keep me pondering the inevitable. The leading fear for most is when the AI bubble pops that it looks like 2000. I tend to add other ingredients to that cause, not leaving the blame solely on AI driven expectations. What about the underlying trend in young American voters? It certainly hints at socialism. That is an unignorable factor I consider when pondering what will inevitably cause this market to cease its run. Ultimately, I'm more confident in short term markets than longer term. Most of the time I feel confident about where the market is going over the next 1-6 months. It is the longer perspective that gives humans a hard time as we know economists are paid to be wrong 9/10 times. For now we will continue to profit from these market leaders and in any sign of weakness, we take chips from lesser quality names and become a spectator for the most part.

I want to leave you with a glimpse of the overall market on a five year time frame. In my opinion, I lean to the side that we are most likely witnessing a near term top that will materialize over the next few quarters.

Happy Thanksgiving!



A handwritten signature in black ink, appearing to read 'L. Cagle', written in a cursive style.

Luke Cagle
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